

Week ending 11th December 2020

Weekly Fixed Income Note

Key Highlight:

A total of KES **24.0 Billion** worth of T-bills were on offer during the week. The **91-day, 182-day and 364-day** T-bills were undersubscribed recording **39%, 30% and 53%** respectively. The CBK accepted KES **1.6B**, **2.9B** and **5.3B** respectively of the bids for the **91-day, 182-day** and **364-day** T-bills on offer. The T-Bills were likely undersubscribed as a result of the tightening liquidity in the market.

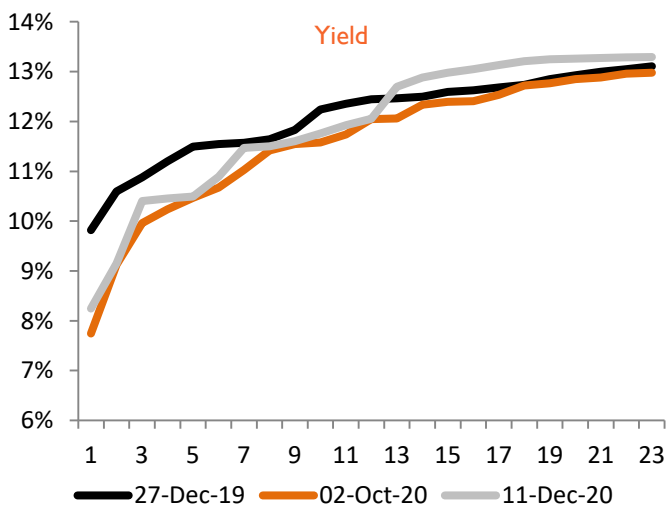
In December, Central Bank of Kenya re-opened two fixed bonds **FXD1/2012/15-(6.82 years)** and **FXD2/2019/15-(13.48 years)** in a bid to raise **40 Billion**. The bonds recorded a subscription rate of **23%** and **38%** respectively. The CBK received total bids at cost **KES 24.34B**. The CBK accepted **KES 8.5B** at a rate of **11.46%** and **9.7B** at a rate of **12.81%** for the **FXD1/2012/15** and **FXD2/2019/15** T-Bonds respectively.

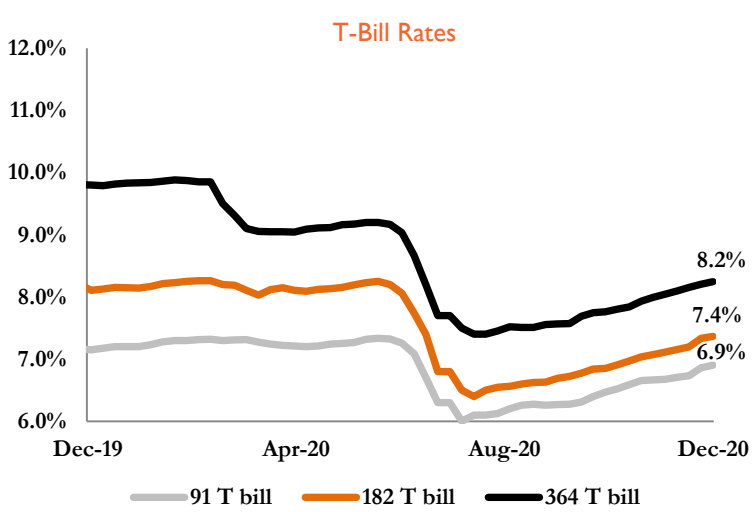
Key Indicators

	Current	Previous	% Change
91- Day	6.90%	6.86%	0.58%
182-Day	7.36%	7.33%	0.41%
364-Day	8.25%	8.20%	0.61%
Interbank Rate	4.52%	3.96%	14.14%

Macroeconomic data	Current	Previous
GDP (2Q20 vs. 2Q19)	-5.7%	5.6%
Inflation (November)	5.46%	4.84%
Private sector credit growth (August)	8.30%	7.6%
Money Supply (August)	11.01%	11.29%

Interest Rates





MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the USD this past week depreciating by **0.38%** to stand at **111.48**.The CBK's usable forex reserves currently stands at **USD 7,849million** (**4.82** months of import cover) as at December 10th a **1.32%** decrease from **USD7,954million**(**4.89** months of import cover) as at December 3rd. This meets the CBK's statutory requirement to endeavour to maintain at least 4 months of import cover.

Inflation

In November, Headline inflation stood at **5.46%** from **4.84%** in October. The CPI increased by **1.19%** from **109.06** in October to **110.91** in November. This increase occurred on the back of a rise in prices of food which outweighed the decreases. Meanwhile, the food and alcoholic beverages index increased by **1.54%** due to the increase in prices of select food items. Headline inflation is likely to increase with the rise in food prices as food products carry a significant weighting in the inflation basket. Petrol prices have also been levelling up which could also lead to an increase in headline inflation.

GDP growth

Growth receded to **-5.7%** in 2Q20 from **5.6%** in the corresponding period of 2019. While the agricultural sector grew slightly by **0.3%** to **6.4%** year-on-year, other sectors have had negative growth including manufacturing, education and accommodation that slowed down to **-3.9%, -56.2%** and **-83.3%** respectively as a result of the crisis caused by the pandemic. For more information click here.

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